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The Shroff Committee Report

THE YEARS AFTER THE SECOND World War, saw a determination in the less developed countries, including India, to accelerate the pace of their economic development. This determination was manifested by an increasing emphasis on industrialization. An important ingredient of industrial development which was generally lacking in most such countries was an adequate supply of capital. Commercial banks in India had confined their lending primarily to meeting short-term working capital requirements of industry: they participated in term lending only to a limited extent and that too in an indirect way.

There were, however, periods in India's banking history when joint-stock banks showed a predilection towards the long-term financing of industry. The first such attempt was made by a number of commercial banks, mostly in the Punjab during the Swadeshi movement of 1906–13. The second organized attempt was made after the First World War, when a number of industrial banks were floated for the specific purpose of promoting and making long-term advances to industries, the earliest and the largest of these being the TIB. However, both these attempts ended in failure.

Apart from the establishment of industrial banks under private enterprise, the necessity for the setting up of specialized financial institutions for providing long-term industrial finance was being stressed by various commissions and committees appointed by the government since the end of the First World War. The appointment of the Industrial Commission under the Chairmanship of Sir T.H. Holland in 1916 was the first organized